

YAKIAMOTORS

A Product Management Case Study

From AUD \$3,200 in Borrowed Capital to a 10x Return

\$3,200 Initial Capital Pooled + borrowed	~\$38K Current Capital Base 100% reinvested	35+ Vehicles Flipped Avg. 2-3.5 wk hold
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Founders Isa, Abdullah, Yaseen	Company Yakiamotors (Registered)	Status Active - Scaling to Dealer License
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1. EXECUTIVE SUMMARY

Yakiamotors is a bootstrapped vehicle arbitrage business founded in mid-2025 by three university students - Isa, Abdullah, and Yaseen - with AUD \$3,200 in pooled capital, a significant portion of which was borrowed from friends and family. The business was born not from a business plan, but from a genuine problem: a co-founder facing financial hardship, and a team that decided to build their way out of it.

In under a year, the team completed 35+ vehicle flips, generated over AUD \$35,000 in gross revenue, and grew the capital base to approximately \$38,000 - a 10x+ return on initial capital, with zero external investors and zero profit extracted. Operating across Facebook Marketplace, Pickles auctions, and targeted Facebook groups, Yakiamotors buys undervalued used cars, performs cosmetic repairs, and resells at 20-65% margins with average holding periods of two to three and a half weeks.

The business now approaches a strategic inflection point: acquiring a dealer license to remove the VicRoads 4-car-per-year cap and unlock wholesale auction access. The next horizon is Japanese import arbitrage, leveraging the Australia-Japan FTA and a weakening yen to source low-mileage vehicles at significant discounts to Australian market value.

10x+ Capital Multiplier \$3.2K to \$38K	\$35K+ Gross Revenue All reinvested	20-65% Avg. Margin On purchase price
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2. PROBLEM AND MARKET OPPORTUNITY

The Core Problem

The Australian used car market is deeply inefficient. Private sellers consistently underprice vehicles due to urgency (relocation, financial pressure, job changes), limited market knowledge, and a desire for fast, low-friction sales. Simultaneously, dealerships move slowly and carry high overheads. The arbitrage gap between what a motivated private seller accepts and what the market will pay is reliably 20-65% per vehicle.

This inefficiency is most pronounced in the \$4,000-\$12,000 segment: reliable Japanese-make city cars (Honda Jazz, Toyota Yaris) favoured by students, international workers, and first-time buyers. These buyers want a serviced, photo-ready car quickly. Yakiamotors fills that gap.

Market Sizing (TAM / SAM / SOM)

Segment	Estimate	Basis
TAM - Total Australian Used Car Market	~\$35B AUD annually	IbisWorld; 1M+ private sales p.a.
SAM - Sub-\$15K Segment, Victoria	~\$3.2B AUD annually	Est. 30% of national market
SOM - Melbourne Metro, Flip-Grade Cars	~\$80-120M AUD annually	Est. 40K flip-grade cars at avg. \$2.5K margin

Jobs to Be Done

Sellers - JTBD	Buyers - JTBD
Functional job: <i>Turn this car into cash today with minimal friction</i> Emotional job: <i>Relief from a stressful asset</i>	Functional job: <i>Get a reliable car under \$10K without weeks of research</i> Emotional job: <i>Confidence in the purchase decision</i>

3. SOLUTION AND BUSINESS MODEL

Three Equal Partners, Three Distinct Roles

Yakiamotors runs on a three-partner structure with roles that emerged naturally from each founder's strengths. All strategic decisions are made jointly.

Isa	Abdullah	Yaseen
Finance, accounting, paperwork, pricing strategy, deal structuring	Deal sourcing - monitors Facebook Marketplace, Pickles auctions, and FB groups, identifies underpriced listings within minutes of posting	Operations and logistics - physical inspections, test drives, engine checks, pickups, repair coordination

The Deal Flywheel

SOURCE	EVALUATE	ACQUIRE	REPAIR	MARKET	SELL + REINVEST
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Profit Margin by Vehicle Type

Vehicle Type	Relative Performance	Metric
Honda Jazz	 95%	Avg. 45-65% margin
Toyota Yaris	 88%	Avg. 35-55% margin
BMW E90 (exception)	 133%	133% ROI on best flip
BMW 5/7 Series (high mileage)	 20%	Avg. -18% (losses)

Note: BMW E90 was an exception purchased at 76,000 km - far below typical high-mileage German stock. The bar above reflects that deal's exceptional ROI, not the category average.

4. MVP AND ITERATION HISTORY (BUILD-MEASURE-LEARN)

Yakiamotors went through three distinct BML cycles, each triggered by a constraint or failure that forced strategic recalibration.

Cycle 1 - Launch	BUILD Pool \$3,200 (partly borrowed). Buy a single car - 2003 Mercedes A200 with rear dent, sourced from Facebook Marketplace. No formal process, pure instinct under urgency.	MEASURE Sold at \$300-400 profit. All friend loans repaid within one week. Capital was whole plus margin.	LEARN Speed beats perfect information. The 4-hour Honda Jazz flip later proved this: bought, bumper replaced at wrecker, sold to buyer who came to the wrecker. Decisiveness is a competitive edge.
Cycle 2 - Overreach	BUILD Tested the hypothesis that premium-brand vehicles (BMW 5 and 7 Series) would command a price premium sufficient to offset higher acquisition costs. Two BMWs purchased.	MEASURE BMW 1: \$3,500 buy, \$2,800 sell, \$1,200 total loss (inc. repairs). BMW 2: \$4,000 buy, \$3,350 sell, \$800 loss. Combined: \$2,000 in losses.	LEARN Product-market fit applies to cars too. The \$4K-\$8K buyer wants reliability, not brand prestige. High-mileage German cars carry perception risk that kills demand in this bracket. Lesson: understand your buyer's risk tolerance, not just your own.
Cycle 3 - Discipline	BUILD Pivoted entirely to Japanese-make city cars. Established hard criteria: under 130K km, cosmetic damage preferred, oil leaks as hard no. Added \$200 standard service to every purchase.	MEASURE 35+ flips completed. Avg. margin 20-65%. Best flip: BMW E90 (only 76K km), \$3K buy, \$7K sell. Capital base grew from \$3,200 to approx. \$38,000.	LEARN The constraint is no longer capital - it is the VicRoads 4-car annual registration limit. The business has outgrown its operating structure. The next move is structural, not operational.

5. METRICS AND RESULTS

10x+ Capital Multiplier \$3.2K starting capital	35+ Cars Flipped Semester 2, 2025 to now	4 hrs Fastest Flip Honda Jazz, buy \$4.85K sell \$7K
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Metric	Value
Starting Capital	AUD \$3,200 (partly borrowed from friends and family)
Current Capital Base	~AUD \$38,000 (cash + active inventory)
Total Gross Revenue	\$35,000+ AUD
Cars Flipped	35+
Average Buy Price	\$4,000 - \$6,000
Average Sell Price	\$6,500 - \$12,000
Average Margin	20-65% on purchase price
Average Holding Period	2 - 3.5 weeks
Best Single Flip (ROI)	BMW E90: \$3K buy, \$7K sell (133% return)
Worst Outcomes	2 BMW losses, approx. \$2,000 combined
External Investors	None. Zero external funding.
Profit Extracted by Founders	\$0. 100% reinvested to date.
Operating Constraint	VicRoads 4-car/year limit (pre-dealer license)

6. KEY DECISIONS AND LEARNINGS

Decision 1: Start with borrowed money

No capital, borrowed from friends and family. The team bought the car anyway and repaid within the week. Learning: the risk was real but bounded. The asymmetry was massive - worst case, owed friends money for two weeks. Best case, a business. Speed of decision-making under uncertainty is itself a competitive advantage.

Decision 2: Refuse external debt to scale

Abdullah proposed leveraging loans to acquire more inventory simultaneously. Isa pushed back. The team agreed: no external debt, compound organically. Learning: match leverage to operational certainty. Without a dealer license and consistent deal flow, leverage amplifies downside. The same decision revisited post-license may produce a different answer.

Decision 3: Walk away from German cars (in the sub-\$8K range)

Two back-to-back losses on high-mileage BMWs totalling approx. \$2,000. Decision: informal rule against German makes in the \$3K-\$8K bracket. Learning: the \$5K-\$8K buyer's job-to-be-done is reliable, cheap-to-run transport - not brand prestige. The BMW E90 exception (76K km) proved the rule: it was the mileage, not the badge, that mattered.

Decision 4: Invest \$200 in servicing every acquired car

Cars with no service history attract lower offers and take longer to sell. The team standardised a \$200 service on every acquisition. Learning: this is a pricing lever, not a cost. 'Recently serviced' justifies a \$400+ asking price premium. A 2x return on a process investment that also reduces mechanical risk.

Decision 5: Reinvest 100% of profit

The business has generated \$35K+ in revenue. Founders have extracted nothing. Learning: when you know the next structural unlock (dealer license) will change the unit economics, preserving capital for that moment is more valuable than short-term extraction. Patience is the rarest form of business discipline.

7. PRODUCT ROADMAP

Yakiamotors has three distinct growth phases with clear unlock conditions and measurable success metrics.

Phase	Key Initiatives	Success Metric	Timeline
NOW / H1 2025	Dealer license acquisition; current Honda Jazz (60K km) prep and sale; refine cosmetic repair SOP; dual-car inventory	License approved; 2 simultaneous inventory slots	Q2 2025
NEXT / H2 2025	Scale to 3-5 simultaneous inventory slots; Pickles and GraysOnline auction access; hire sourcing assistant	\$80K+ capital base; avg. hold period under 2 weeks	Q3-Q4 2025
LATER / 2026	Launch Japanese import channel (RAV4, Camry); leverage AUS-Japan FTA and weak yen; explore inter-state sourcing	First imported vehicle sold at \$3K+ margin over domestic equivalent	H1 2026

Japanese Import Margin Analysis

Cost vs. Revenue Breakdown (Per Import)	Relative Performance	Metric
Japan Purchase Price	54%	~AUD \$15,000
Import + Shipping	18%	~AUD \$5,000
Compliance + Rego	7%	~AUD \$2,000
Total Cost	79%	~AUD \$22,000
Expected Sale Price	96%	~AUD \$26,000-\$28,000
Gross Margin	17%	~AUD \$4,000-\$6,000 per car

8. WHAT I'D BUILD: FLIPIQ

The biggest operational pain point in Yakiamotors is not capital and it is not sourcing - it is the speed and quality of deal evaluation. A car listed at 7am can be gone by 7:15am. The difference between a good business and a great one is whether the team can make a high-confidence buy/no-buy decision in under five minutes, from their phones, before anyone else does.

RICE Prioritisation - Feature Backlog

Feature	Reach	Impact	Confidence	Effort	RICE Score
Automated Listing Alerts (keyword + price monitor)	9	3	85%	1	229
Historical Flip Database (personal deal ledger)	7	3	90%	2	95
Team Deal Pipeline (shared Kanban)	9	2	90%	2	81
Deal Score Engine (URL paste to score)	9	3	80%	3	72
Carsales AMV Auto-Comparison	8	3	85%	2	102
AI Image Analysis (engine and damage detection)	8	3	60%	5	29

RICE Score = (Reach x Impact x Confidence) / Effort. Higher is higher priority.

Top 4 Feature Specs

Feature 1: Automated Listing Alert RICE: 229 Priority #1 <i>Monitors Marketplace and Gumtree for listings matching set criteria. Pushes a notification within 60 seconds. The 4-hour Jazz flip happened because the listing was spotted 10 minutes after posting. This makes that the default.</i>	Feature 2: Carsales AMV Auto-Comparison RICE: 102 Priority #2 <i>Auto-pulls Carsales 'Around Market Value' and displays the gap: 'This car is \$2,100 below AMV.' Removes manual cross-referencing. Core view: price, AMV, delta, Buy/Investigate/Pass signal.</i>
Feature 3: Team Deal Pipeline RICE: 81 Priority #3 <i>Shared Kanban: Spotted / Evaluating / Offer Made / Acquired / For Sale / Sold. Abdullah in Pakistan. Isa in class. Yaseen on a run. Replaces a barely-active group chat with a purpose-built async coordination layer.</i>	Feature 4: Historical Flip Database RICE: 95 Priority #4 <i>Logs every flip: buy price, sell price, repairs, hold time. Surfaces patterns: 'Jazz averages 31% margin in 14 days. BMW 5-Series averages -18% in 38 days.' Replaces gut feel with a compounding personal dataset.</i>
YAKIAMOTORS <i>Built with borrowed money. Scaled with discipline.</i>	